MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS)

REGULAR EXAMINATION

March

2026

Fourth SEMESTER

Value Addition Course (VAC) - MG4VACFSQ200 - ENTREPRENEURSHIPDEVELOPMENT

(2024 ADMISSION ONWARDS)

Duration:1 hour 30 minutes **Maximum Marks: 50**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I)and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overalloutcome attainability.

Part A

MCQ

Answer all questions. Each question carries1marks

1.Relate why entrepreneurship is considered an economic function.

a). Avoid market changes b). Focuses on consumption c). Mobilize resources for production and innovation d). Creates jobs only

2.Recall one function of SISI.

a). Issuing passports b). Conducting census c). Providing technical assistance d). Managing courts

3.Write one characteristics of small scale industries.

a). Complicated technology b). Large gestation period c). Simple technology

d). None of the above

4.Select the correct statement about minor partner.

a). He is admitted only to benefits of partnership b). He has unlimited liability c). He manages business actively d). He is full partner by law

5. Name the person who owns a sole proprietorship.

a). Shareholder b). Director c). Sole proprietor d). Partner

6.Name the main objective of co-operative society.

a). Political activity b). Luxury production c). Service to members

d). Maximizing profit

7.Recall the meaning of business objectives.

a). Personal wishes b). Rules of business c). Government orders

d). Goals to be achieved by business

8.Identify entrepreneurs as a factor of

a). Economic stagnation b). Inflation c). Economic development d). Recession

9.Outline what non-technical entrepreneurs emphasizes.

a). Invention b). Research c). Technology d). Marketing

10.Name the owners of joint stock company.

a). Sole proprietor b). Partners c). Employees d). Shareholders

11.Identify the need for Entrepreneurship Development Programme.

a). To reduce education level b). To promote self-employment c). To increase imports

d). To control prices

12. State the factor that ensures continuous production.

a). Irregular power supply b). Adequate power and electricity c). Lack of water

d). Poor roads

13.Find the factor most influencing location and scale of entrepreneurial ventures?

a). Family background b). Need for achievement c). Raw material and markets proximity

d). Government propaganda

14.Enumerate one characteristic of business risk.

a). Uncertainty of return b). Guaranteed profit c). Fixed income

d). No loss possibility

15.Recall the first step in project planning.

a). Project appraisal b). Project implementation c). Project monitoring

d). Project identification

16.List which of the following is/are demographic factor(s) in entrepreneurship.

a). Age b). Education c). Marital status d). All the above

17.Select what entrepreneurs cause through innovation.

a). Structural change in economy b). Strengthening of traditional market c). Stagnation of economy d). Decline in efficiency

18.Match intrapreneurship encourages:

a). Employee empowerment b). No innovation c). Routine management

d). Isolation

19. Recall a major problem for women entrepreneurs

a). Lack of financial support b). Support by family c). Excess capital

d). Equal acceptance

20. Select the correct classification of business organization. [U] / [CO1]

a). Private sector and public sector b). Primary and secondary sector

c). Urban and rural sector d). Domestic and foreign sector

[1x20 = 20]

Part B

Short Answer Answer any 5 questions

Each question carries 4 marks

21.Discuss the advantages of co-operative societies. [U] / [CO1]

Advantages of Co-operative Societies

1.Easy Formation

A co-operative society is easy to form. It requires a minimum number of members and simple legal formalities compared to other business organizations.

2.Democratic Management

Management is based on the principle of "one member, one vote." Every member has equal voting rights regardless of the amount of capital invested.

3.Limited Liability

The liability of members is limited to the amount of capital they have invested. Members are not personally responsible for the debts of the society.

4.Service Motive

The main objective of a co-operative society is to provide service to its members rather than earning maximum profit.

5.Government Support

Co-operative societies often receive financial assistance, subsidies, and tax concessions from the government, which helps their growth.

6.Stability and Continuity

The society continues to exist even if some members leave or new members join.

22. List the objectives of National Entrepreneurship Development Board. [U] / [CO2]

Objectives of National Entrepreneurship Development Board (NEDB)

Promotion of Entrepreneurship

To promote and develop entrepreneurship in the country by encouraging individuals to start new enterprises.

Training and Development

To organize and support entrepreneurship development programmes (EDPs) for developing entrepreneurial skills among people.

Coordination of Institutions

To coordinate the activities of various institutions engaged in entrepreneurship development and training.

Research and Development

To promote research, studies, and surveys related to entrepreneurship and small business development.

Support to New Entrepreneurs

To provide guidance, information, and assistance to new and potential entrepreneurs in establishing their enterprises.

Development of Entrepreneurial Culture

To create awareness and develop an entrepreneurial culture in society.

23. Explain the importance of technical feasibility in project formulation. [U] / [CO3]

Selection of Suitable Technology

It helps in selecting appropriate technology and production methods for the project.

Efficient Use of Resources

Ensures proper utilization of machinery, raw materials, labour, and other technical resources.

Estimation of Production Capacity

Helps in determining the production capacity and technical requirements of the project.

Identification of Technical Problems

Helps to identify possible technical difficulties and find solutions before implementing the project.

Ensures Project Success

By evaluating technical requirements in advance, it increases the chances of successful project implementation.

24. Describe the importance of partnership deed. [U] / [CO1]

A partnership deed is a written agreement between the partners of a partnership firm that defines the terms and conditions of the business.

Importance:

Defines Rights and Duties

It clearly states the rights, duties, and responsibilities of each partner.

Profit and Loss Sharing

It specifies the ratio in which profits and losses are shared among partners.

Avoids Conflicts

A written agreement helps prevent misunderstandings and disputes among partners.

Provides Legal Evidence

The partnership deed acts as legal proof in case of disputes or legal matters.

Clarifies Business Rules

It includes rules regarding capital contribution, interest on capital, salary to partners, and admission or retirement of partners.

25.Enumerate the functions of the post-training or follow-up phase. [U] / [CO2]

The post-training or follow-up phase is the stage after the completion of an Entrepreneurship Development Programme (EDP). It helps trainees start and manage their enterprises successfully.

Functions:

Guidance for Starting Enterprise

It provides guidance and support to trainees in establishing their own business ventures.

Assistance in Finance

Helps entrepreneurs obtain loans and financial assistance from banks and financial institutions.

Help in Project Implementation

Assists in the implementation of project plans prepared during the training programme.

Solving Operational Problems

Provides advice and support to solve technical, managerial, and marketing problems faced by new entrepreneurs.

Monitoring and Evaluation

The progress of trainees and their enterprises is monitored and evaluated to ensure successful business operations.

26. Discuss the merits of partnership business. [U] / [CO1]

Merits of Partnership Business

Easy Formation

Partnership business is easy to form. It requires simple legal procedures and can be started with an agreement between partners.

More Capital

Since several partners contribute capital, the business can raise more funds compared to a sole proprietorship.

Division of Work

Work and responsibilities are shared among partners according to their skills and abilities, which increases efficiency.

Better Decision Making

Partners can discuss and share ideas, leading to better and more balanced business decisions.

Sharing of Risk

Business risks and losses are shared among partners, reducing the burden on a single person.

Flexibility in Operations

Partnership firms can easily adapt to changes and make quick decisions**.**

27.Explain the role of supply of good raw materials in SSI units. [U] / [CO3]

The supply of good raw materials is very important for the success of Small Scale Industries (SSI). It affects the quality of production and overall efficiency of the unit.

1. Ensures Quality Production

Good quality raw materials help in producing high-quality finished goods, which increases customer satisfaction.

2. Continuous Production

Adequate supply of raw materials ensures smooth and uninterrupted production in the industry.

3**. Reduces Production Cost**

When raw materials are available at reasonable prices, it helps reduce the cost of production.

4. Improves Efficiency

Availability of proper raw materials helps workers and machines to work efficiently without delays.

5. Increases Competitiveness

Quality products made from good raw materials help SSI units compete effectively in the market.

[4x5 = 20]

Part C

Long Essay

Answer any 1 questions

Each question carries 10 marks

28. Compare Entrepreneurs, Entrepreneurship and Enterprise [U] / [CO1]

Entrepreneur, entrepreneurship, and enterprise are closely related concepts in business, but they have different meanings and roles in economic development.

1. Entrepreneur

An entrepreneur is a person who starts, organizes, and manages a business venture by taking risks in order to earn profit. The entrepreneur identifies opportunities, mobilizes resources such as capital, labour, and technology, and makes decisions for the successful running of the business. The entrepreneur is considered the driving force behind business activities and innovation.

Example: A person who starts a new manufacturing unit or service business.

2. Entrepreneurship

Entrepreneurship refers to the process or activity of creating and managing a business venture. It involves identifying business opportunities, developing new ideas, organizing resources, taking risks, and introducing innovation in production or services. Entrepreneurship focuses on the skills, creativity, and managerial abilities required to start and run a business successfully.

3. Enterprise

An enterprise is the business organization or institution established by the entrepreneur. It is the actual business unit where production, distribution, or services take place. The enterprise uses resources such as land, labour, capital, and technology to produce goods or services and achieve business objectives.

Basis	Entrepreneur	Entrepreneurship	Enterprise
Meaning	A person who starts and manages a business	The process of starting and managing a business	The business organization created
Nature	Individual	Activity or process	Business unit
Role	Takes risk and makes decisions	Organizes resources and innovation	Produces goods or services
Focus	Person	Process	Organization

29. Define business opportunity and explain its characteristics in detail. [K] / [CO3]

Definition of Business Opportunity

A business opportunity refers to a favorable set of circumstances in the market that allows an individual or a firm to start a new business or expand an existing one with the expectation of earning profits. It is essentially a chance to meet consumer needs, solve problems, or provide goods and services in a way that creates value.

In short: A business opportunity is a potential idea or market gap that can be converted into a successful business venture.

Characteristics of a Business Opportunity

Profitability

A genuine business opportunity should have the potential to generate reasonable profit. Without the possibility of financial gain, the opportunity is not viable.

Market Demand

There must be demand for the product or service in the market. Understanding customer needs and preferences is critical to ensure success.

Feasibility

The opportunity should be technically, financially, and operationally feasible. This includes availability of resources, technology, skills, and funds to implement the business idea.

Scalability

A good business opportunity has the potential to grow and expand over time. It should allow the business to increase production, enter new markets, or diversify products.

Innovativeness

Opportunities often arise from innovation or improvement in products, services, or processes. Creativity and uniqueness help a business stand out from competitors.

Low Risk or Manageable Risk

Every business involves risk, but a viable business opportunity should have risks that can be identified, evaluated, and managed effectively.

Resource Availability

The success of a business opportunity depends on the availability of raw materials, manpower, technology, and financial resources.

Legal and Social Acceptability

The business idea should comply with legal regulations and ethical standards. It should be socially acceptable and environmentally responsible.

[10x1 = 10]